the size of the disclosures, have bid up PSB bank shares. To the extent that these are still trading at a fraction of book value, there is still room for upward valuation if the banks can improve the prospects of recovery. The new schemes, as well as the improving economy, should help.

FRAUD AND WILFUL DEFAULT

Even while we make it easier for committed promoters to restructure when they experience bad luck or unforeseen problems, we should reduce the ability of the fraudster or the wilful defaulter, who can pay but simply is disinclined to do so, or the fraudster, to get away. This is why it is extremely important that banks do not use the new flexible schemes for promoters who habitually misuse the system (everyone knows who these are) or for fraudsters. The threat of labelling a promoter a wilful defaulter could be effective in the former case, and we have coordinated with SEBI to increase penalties for wilful defaulters. For fraudsters, quick and effective investigation by the investigative agencies is extremely important. We should send the message that no one can get away, and I am glad that the Prime Minister's Office is pushing prosecution of large frauds. The RBI has set up a fraud monitoring cell to coordinate the early reporting of fraud cases to the investigative agencies. And for those who have diverted money out of their companies, especially into highly visible assets abroad, a stern message sent by bankers sitting together with investigative agencies should help send the message that the alternatives to repayment can be harsh.

BANK RISK AVERSION

Bankers often argue that the easiest people to label in a fraud are the bankers themselves, who often could be victims rather than perpetrators. Similarly, they accuse the vigilance authorities of